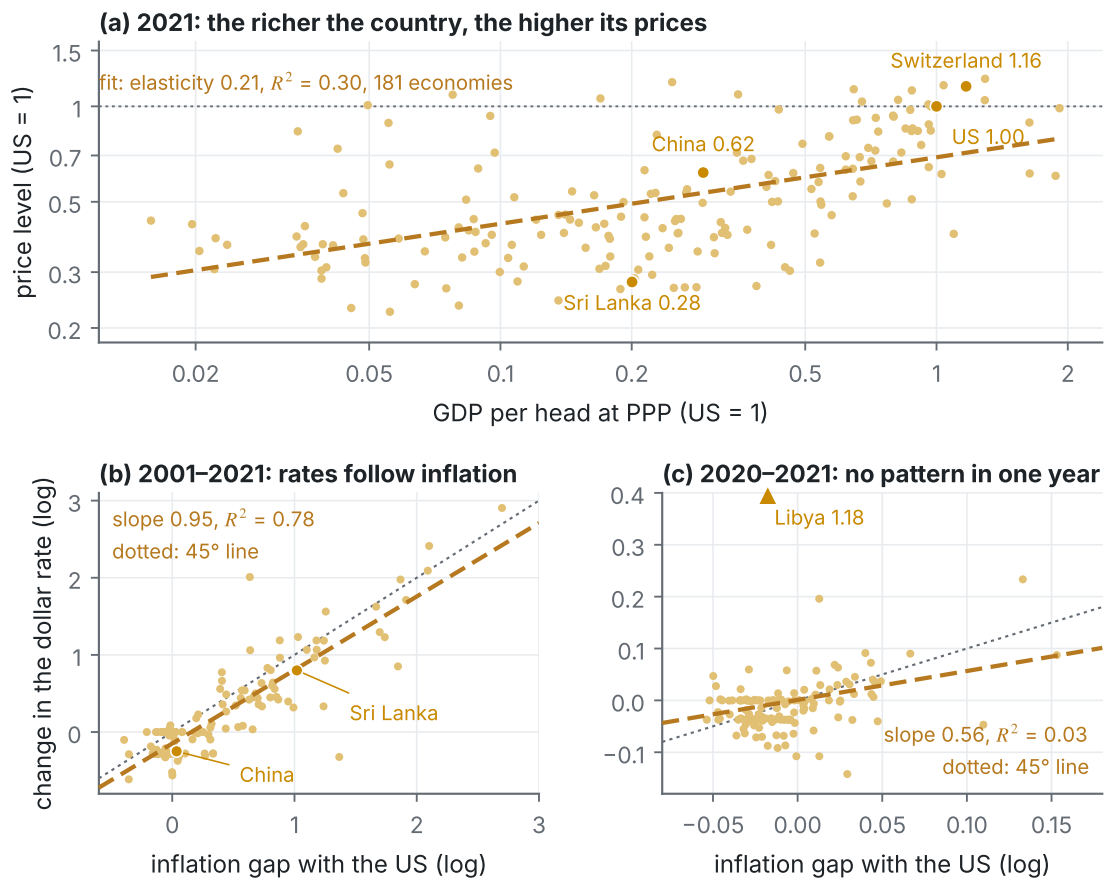
(a) 2021: the richer the country, the higher its prices
fit: elasticity 0.21, R^2 = 0.30, 181 economies
Switzerland 1.16
US 1.00
China 0.62
Sri Lanka 0.28
price level (US = 1)
1.5
1
0.7
0.5
0.3
0.2
0.02
0.05
0.1
0.2
0.5
1
2
GDP per head at PPP (US = 1)
(b) 2001–2021: rates follow inflation
slope 0.95, R^2 = 0.78
dotted: 45° line
Sri Lanka
China
change in the dollar rate (log)
3
2
1
0
0
1
2
3
inflation gap with the US (log)
(c) 2020–2021: no pattern in one year
Libya 1.18
slope 0.56, R^2 = 0.03
dotted: 45° line
0.4
0.3
0.2
0.1
0.0
−0.1
−0.05
0.00
0.05
0.10
0.15
inflation gap with the US (log)